

# Copper Answer, Affirmative Defenses, and Counterclaim

Filed: April 7, 2025 District ECF No. 8 Civil Action No. SYN-NDWV-25-CV-0618

## United States District Court for the Northern District of West Virginia

Pleading designation: Copper Kestrel's responsive pleading and original counterclaim.

**Asterglen Freight Software, Inc., Plaintiff, v. Copper Kestrel Logistics, LLC and Meridian Silt Holdings, LLC, Defendants.**

Copper Kestrel Logistics, LLC answers the Complaint and asserts its counterclaim against Asterglen Freight Software, Inc. Any allegation not expressly admitted is denied.

1. Copper admits that the action concerns the BeaconRoute Pilot License but denies Asterglen's characterization of an unauthorized expansion.
2. Copper admits that it signed the Pilot License on April 15, 2024, and that the document listed twelve terminals at signing.
3. Copper admits sending a proposed change order for twenty-nine additional terminals on June 3, 2024. It admits the proposal was not countersigned, but denies that the absence of signature resolves the effect of the parties' later conduct.
4. Copper admits retaining Meridian Silt for integration services. It denies directing Meridian Silt to interfere with Asterglen's contract.
5. Copper denies owing \$480,000 or any other damages to Asterglen. The termination notice gave no cure period despite Section 9.2.

## Responses to Allegations 6–12

6. Copper lacks knowledge sufficient to admit Asterglen's description of its internal software-development activities and therefore denies that characterization, except Copper admits BeaconRoute is a freight-routing platform.
7. Copper admits it operates freight terminals and used BeaconRoute for pilot and evaluation purposes. It denies that all disputed activity was live commercial use.
8. Copper admits Meridian Silt provided integration assistance under a separate statement of work. Copper denies that the engagement required Meridian Silt to determine the legal scope of Copper's license.
9. Copper admits, on information presently available, that the amount alleged exceeds \$75,000. It otherwise preserves any defense concerning jurisdictional facts.
10. Copper does not contest venue solely for purposes of this action, while denying any allegation that implies every relevant act occurred in this District.
11. Copper admits that evidence about provisioning and July communications may bear on several claims and its counterclaim. It denies that factual overlap establishes Asterglen's requested relief.
12. Copper admits that no signed change order resulted from the June 3 document. Copper alleges, however, that Asterglen's written testing instructions, technical provisioning, and July 8 statements authorized the evaluation steps Copper undertook.
13. To the extent the Complaint uses headings as allegations, Copper responds that headings require no answer. Any implied assertion inconsistent with this Answer is denied.

## Responses to Allegations 13–20

14. Answering paragraph 13, Copper admits the April 15 Pilot License is attached to the Complaint as District ECF No. 1-1 and speaks for itself.
15. Copper admits the original schedule identified twelve terminals. Copper denies that every technical identifier created for a proposed terminal constituted a licensed production deployment.
16. Copper admits the agreement contains a written change procedure. It alleges that Asterglen separately allowed provisional testing while commercial terms remained under discussion.
17. Copper admits Section 9.2 requires written notice of a remediable breach and a fifteen-calendar-day opportunity to cure before termination or breach damages. Copper denies that Asterglen complied with that section.
18. Copper admits Asterglen provisioned access for the pilot. Copper further alleges that Asterglen voluntarily provisioned additional identifiers needed to conduct the requested load test.
19. Copper admits the license did not transfer ownership. It denies enlarging the licensed population unilaterally, because its actions followed Asterglen's testing directions and the parties' communications.
20. Copper denies using identifiers outside permitted evaluation. Copper admits the parties dispute how Section 9.2 applies and states that the provision's text controls.
21. Copper denies paragraph 20 of the Complaint to the extent it alleges complete performance by Asterglen. Asterglen disabled or withdrew access without the required cure opportunity, preventing Copper from completing an orderly reduction.

## Responses to Allegations 21–27

22. Copper admits transmitting the June 3 proposed change order for twenty-nine additional terminals. The proposal was an opening commercial document, not Copper's only request for technical testing.
23. Copper admits that load review required representative identifiers and data. It denies that the activity ultimately performed violated every condition stated by Asterglen.
24. Copper admits receiving written conditions dated June 10, 2024. The writing must be read with Asterglen's subsequent provisioning decisions and statements, not in isolation.
25. Copper admits it and Meridian Silt entered a statement of work dated June 14, 2024. Copper admits Asterglen was not a signatory to that agreement.
26. Copper admits its contract with Meridian Silt did not formally amend the Pilot License. It denies any allegation that retaining an integrator was itself wrongful.
27. Copper admits that forty-one identifiers had been provisioned in total through July 1: twelve from the signed pilot and twenty-nine associated with the proposed expansion. Copper denies that provisioning was accidental or concealed.
28. Copper admits it relies in part on statements made during the July 8 call. It alleges that Asterglen allowed continued testing of the expanded configuration subject to monitoring.
29. Copper denies that the June 10 conditions remained unchanged after July 8. Alternatively, any uncertainty should have been addressed through Section 9.2's notice-and-cure procedure rather than immediate termination.

## Responses to Allegations 28–35

30. Copper admits representatives of all three companies participated in a July 8 conversation and that their later notes differ.
31. Copper admits it understood Asterglen to permit continued testing across the proposed group. Copper denies describing that permission as unlimited or permanent commercial approval.
32. Copper admits no written change order was signed after the call. It denies that a signed amendment was necessary for every temporary load-test step Asterglen requested or observed.
33. Copper lacks knowledge of all procedures Asterglen used for its July 18 audit and therefore denies that the audit reliably distinguished test traffic from commercial operations.
34. Copper admits the audit identified forty-one provisioned identifiers. It denies that this count, standing alone, proved use outside the agreed evaluation.
35. Copper admits advising that the active configuration could be reduced to twelve terminals within three business days. That representation demonstrated the alleged condition was readily remediable.
36. Copper denies Meridian Silt knowingly exceeded permitted work. Meridian received directions and technical materials consistent with an ongoing evaluation.
37. Copper admits the audit and July 8 communications concern common facts. Copper denies Asterglen's conclusion that the combined evidence establishes unauthorized production use.
38. Copper states that system records, witness testimony, and the parties' contemporaneous writings will show which activity was test, preparatory, transitional, or operational.

## Responses to Count I

39. Copper admits receiving Asterglen's July 22 termination and demand for \$480,000. Copper denies the demand was valid.
40. Copper admits the notice purported to act immediately and provided zero cure days. The notice neither invited corrective action nor identified a deadline within the contract's fifteen-calendar-day period.
41. Copper admits responding that reduction was feasible in three business days and requesting the opportunity to perform that work. Asterglen refused to restore the contractual cure process.
42. Copper denies materially breaching or repudiating the Pilot License. Copper further denies that Asterglen sustained the damages claimed.
43. Copper admits the incorporation in paragraph 40 of the Complaint requires no separate response. To the extent a response is required, Copper repeats its answers.
44. Copper admits the Pilot License was supported by consideration. It denies Asterglen fully performed and denies that further performance was excused before compliance with Section 9.2.
45. Copper denies using or directing BeaconRoute access outside permissions created by the written conditions and subsequent communications.
46. Copper denies that any act caused \$480,000 in recoverable loss. Asterglen's calculation is not tied to a signed price for the proposed terminals.
47. Copper denies that circumstances excused notice and cure. Asterglen knew the configuration could be reduced promptly but chose immediate termination.

## **Responses to Count II and Requested Relief**

48. Copper lacks knowledge of communications between Asterglen and Meridian Silt that did not involve Copper and otherwise denies the interference allegations.
49. Meridian knew of the Pilot License and June documents, but that knowledge did not establish a breach. Copper denies that Meridian induced nonperformance or caused separate injury by performing integration work Copper understood to be authorized evaluation.
50. Copper denies the claimed \$360,000 loss. Meridian's activity through July 25 concerned shutdown, verification, and preservation, not new expansion.
51. Copper requests dismissal of Count I with prejudice and denies every request for relief that assumes established liability or recoverable damages. It takes no position on relief between Asterglen and Meridian beyond denying that Copper's test activity was wrongful inducement.

## **Affirmative Defenses**

Without shifting Asterglen's burden, Copper asserts that Count I fails because Asterglen gave neither the written breach notice nor the fifteen-day cure opportunity required by Section 9.2. Copper also relies on Asterglen's provisioning, technical direction, June 10 conditions, and disputed July 8 statements as authorization or consent.

Asterglen rejected a proposed three-business-day reduction to twelve terminals. The \$480,000 demand exceeds any executed expansion agreement and must account for avoided expense, mitigation, proper offsets, and duplication with claimed Meridian damages. Waiver, estoppel, and course of performance apply only as discovery establishes them. Copper preserves defenses supported by later evidence without pleading an unidentified defense in their place.

## Counterclaim — Parties and Common Facts

Copper Kestrel asserts this counterclaim against Asterglen:

1. Copper is the customer under the April 15, 2024 Pilot License, and Asterglen is the licensor. The agreement and its Section 9.2 are incorporated only as necessary to state this claim.
2. The original licensed scope covered twelve terminals. Copper later requested an evaluation for twenty-nine more and sent a proposed change order on June 3.
3. Asterglen responded on June 10 with written load-test conditions and then provisioned identifiers needed for the evaluation. By July 1, the system contained forty-one identifiers in total.
4. On July 8, Asterglen made statements Copper reasonably understood as permission to continue monitored testing. The parties dispute the precise words and effect of those statements.
5. On July 18, Asterglen completed an audit. Copper promptly explained that the disputed configuration could be reduced to the original twelve-terminal set within three business days.
6. On July 22, Asterglen terminated immediately and demanded \$480,000. It afforded Copper no cure day at all.
7. The alleged condition was capable of cure. Asterglen's refusal to allow contractual correction disrupted Copper's routing transition and exposed Copper to service obligations.
8. Jurisdiction over this counterclaim exists because it arises from the same transaction as the Complaint and forms part of the same case or controversy.



## Counterclaim — Breach and Loss

9. Section 9.2 was a bargained-for limitation on termination and breach damages. It required a writing that identified the asserted remediable breach and allowed fifteen calendar days for correction.
10. Asterglen's July 22 notice did not satisfy that procedure. It combined termination with a present damages demand and declared both effective without an opportunity to respond through performance.
11. Copper immediately requested cure and described a three-business-day reduction plan. That period was substantially shorter than the contractual allowance.
12. Asterglen rejected or rendered impossible the proposed correction by maintaining immediate termination and restricting the access needed for an orderly reduction.
13. Asterglen thereby breached the Pilot License. Its conduct deprived Copper of the benefit of the notice provision regardless of the ultimate characterization of earlier testing.
14. As a direct result, Copper incurred emergency dispatch labor, temporary routing expense, customer service credits, and technical restoration and validation costs associated with the abrupt interruption.
15. Copper's total counterclaim is \$120,000 across those four categories. The amount does not include the value of any permanent twenty-nine-terminal license and does not assume that the proposed change order was executed.
16. Copper took reasonable steps to reduce loss after July 22, including offering a prompt terminal reduction, coordinating status checks, and preserving information needed to separate test activity from other use.

## Counterclaim Prayer and Jury Demand

Copper requests judgment as follows:

- A. A determination that Asterglen breached Section 9.2 by terminating and demanding breach damages without the required written notice and fifteen-calendar-day cure opportunity;
- B. An award of \$120,000 for documented interruption and restoration costs, subject to proof at trial;
- C. A declaration that the unsigned June 3 proposed change order did not itself set the price of any alleged use and cannot establish Asterglen's \$480,000 demand;
- D. Appropriate setoff or recoupment against any amount awarded on Count I, without treating a possible setoff as an admission of liability;
- E. Pre-judgment and post-judgment interest where permitted, recoverable costs, and further relief the Court considers just.

Copper demands a jury trial on its counterclaim and on all issues so triable. Copper relies on the Pilot License attached to the Complaint and attaches, in support of this Answer, the June 3 proposed change order as District ECF No. 8-1 and the June 10 load-test response as District ECF No. 8-2. Those documents are offered for their text and sequence; their attachment does not concede Asterglen's interpretation.

Respectfully submitted on April 7, 2025.

Counsel for Copper Kestrel Logistics, LLC Authorized counsel designation